

STUB pitch deck

The empty court_tmp directory and denied desk/data read mean I can't file this into the pipeline myself — I'll deliver the full deck here (it also carries the machine-readable fence the auto-armer consumes). Everything below is drawn from the evidence pack and the two benches; the tape anchor uses the pack's numbers where a bench drifted.

PITCH — STUB — PROPOSED VERDICT (one line)

PROPOSED — PENDING ADJUDICATION: NO POSITION in either direction into the August 12 earnings report; reconvene the court within 48 hours after the report, where the live question is whether the market's fear of ticket-price-cap laws spreading nationwide is overdone.

What we believe

StubHub at \$8.78 is down 68.5% from its 52-week high of \$27.89 (and 53% above its \$5.74 low), and the stock now embeds three fears: a weak summer driven by the World Cup resale market, a thin underlying business once accounting noise is stripped out, and a state-by-state regulatory campaign to cap resale prices and fees. After a full adversarial review, we believe:

- 1. The reported cash flow badly overstates the real business.** Of the \$298.4 million of operating cash flow in Q1, \$273.6 million was simply customer money passing through the platform (cash collected from buyers not yet paid out to sellers grew from \$845.9M to \$1,111.7M). The underlying cash generation was roughly \$17 million for the quarter. This is confirmed from the company's own Q1 release.
- 2. The common stockholder's claim is thinner than headline profit suggests, but improving fast.** There is a preferred stock layer senior to the common — \$454 million carrying value, \$706 million liquidation preference — so profit attributable to common holders was \$32.5M in Q1, not the \$48.0M headline. However, that preferred layer shrank from \$758M to \$454M in a single quarter, the company repaid \$100M of debt in May, and interest expense has fallen from \$42.4M to \$17.3M year over year. The balance sheet is healing quickly.
- 3. The direction of Wednesday's earnings report is genuinely unresolvable in advance.** The World Cup ticket-price collapse happened June 22–29 — inside Q2, not Q3 as the original thesis assumed — and revenue books when the ticket transacts, not when the match is played. Both Q2 and Q3 are contaminated by World Cup effects in both directions, and we found zero StubHub-specific World Cup sales data anywhere. Anyone claiming to know how this quarter looks is guessing.
- 4. The regulatory fear has a free, real-world test running — and so far the business passed.** Maine's 10% cap on marketplace service fees has been in force since September 2025. Through two reported quarters with that cap live, StubHub's overall fee rate *rose* to 20.5% of

ticket value. Vermont's cap (effective July 1, 2026) applies only to small venues under 3,000 seats. The feared laws exist, but where enacted they are so far too small to dent the blended economics. This is the seed of the post-earnings long case.

What the market believes

The market is pricing StubHub as a broken IPO with a binary event ahead: down two-thirds from the high, with short sellers holding 11.8% of the freely tradable shares (28.9M shares) — a crowded bearish bet into the report. The bear story the price implies: World Cup resale prices collapsed publicly in late June, price-cap laws are advancing in five states (Massachusetts is next, with more behind it), and the company's impressive-looking cash flow is mostly customer float rather than real earnings. Management, meanwhile, reaffirmed full-year guidance in May (\$9.9–10.1 billion in gross ticket sales, \$400–420M EBITDA), which the market evidently does not fully believe. Wall Street coverage exists (Citi and others), so this is not an ignored stock — it is a distrusted one.

Why we might have edge

- **We have the Maine natural experiment and the market may not be watching it.** The most feared risk — fee caps — has been legally in force in one state for nearly a year, and the company's fee rate went *up*. This is a piece of empirical contra-evidence to the contagion story that we verified against the enacted law's press coverage and the company's own reported fee rate, and it was surfaced by our own defense bench, not by any analyst coverage we saw.
- **We did the accounting work.** The float-versus-real-cash decomposition and the preferred-stock adjustment come straight from the [Q1 2026 earnings release PDF](#) (pages 5–6), read primary by both benches independently. We also caught that the widely repeated “7.7% short interest” figure understates the crowding — it is 11.8% of tradable float.
- **We know exactly what to read at 4:05pm on August 12, in order:** the customer-float balance ($\geq$ \$1.11 billion means forward ticket sales held up), the fee rate (~20.5% means no cap erosion), the G&A expense line (up 49% year over year — where World Cup make-goods and legal costs would land), and the full-year guide. That checklist converts a chaotic report into four yes/no reads.
- **The insider tape is mildly reassuring and was misread publicly.** The July sales were pre-scheduled trading plans executed near \$13, and the CEO's August 5 sale was non-discretionary tax withholding at \$9.12 — not a discretionary dump at the lows.

Why it might be priced in

Symmetry demands the concessions:

- **A 68.5% drawdown already prices a lot of bad news.** The bear case — thin real cash flow, regulatory overhang, World Cup mess — is publicly known and heavily shorted. We found no StubHub-specific data (positive or negative) that the market lacks; our edge claims rest on interpretation of public filings, not on private information.

- **The “cheap” claim was weaker than our own thesis stated.** The original owner-earnings-yield figure was computed before the preferred stock’s senior claim; corrected, the equity residual is \$32.5M per quarter of profit and ~\$17M per quarter of real cash — the stock is not obviously cheap on current economics, only on normalized/improving ones.
- **The regulatory campaign is real and compounding.** Maine and Vermont are individually tiny, but Massachusetts is moving and five states have acted or are acting. The Maine experiment refutes the *current* damage, not the trajectory.
- **The stock is covered by major banks.** This is not an orphaned, unanalyzed name where mispricing persists by neglect; if the quarter is fine, the market can reprice it quickly without us.

What we checked ourselves

Claim	How checked	Found	Confirmed?
World Cup average resale prices collapsed \$2,930→\$2,165 (−39%), per the thesis’s Newsweek citation	Both benches fetched the cited article	The numbers are not in the article. It tracks FIFA’s own official resale portal (via TicketData.com) and never mentions StubHub. Our original thesis mis-cited its own source — a fatal provenance error. One reduction: the supply jump (1,774→10,547 listings) <i>is</i> in the article; the red bench erred by declaring the entire evidence chain dead.	REFUTED as cited
“The price collapse lands in Q3”	Same article + revenue-timing logic	Collapse window was June 22–29 — inside Q2; revenue books at transaction date. Both quarters are contaminated ; the clean Q2/Q3 split in our thesis does not exist. Blue bench also flagged that red’s timing proof leaned on the same FIFA-portal data red had just ruled non-StubHub — a provenance inconsistency on our own prosecution side.	REFUTED
Valuation math (\$48M quarterly profit, ~3.2% owner-earnings yield)	Q1 release balance sheet, p.5 (primary)	Thesis omitted the preferred stock: \$454.4M carrying / \$706.5M liquidation preference senior to common; profit to common was \$32.5M, not \$48.0M. Severity reduced by blue: preferred shrank from \$758M last quarter and \$100M of debt was repaid in May.	Omission CONFIRMED
Reported cash flow is inflated by customer float	Q1 release pp.5–6 (primary)	\$273.6M of \$298.4M operating cash flow was float build; real cash generation ~\$17M/quarter; cash interest \$31.0M/quarter	CONFIRMED
Short interest ~7.7%	stockanalysis.com, fetched by both benches	It is 11.82% of tradable float (28.9M shares); 7.7% was the percent-of-all-shares figure. Thesis understated the crowding.	REFUTED as stated
Insider selling is a bear signal	Form 4 coverage + Q1 cash-flow corroboration	July sales were pre-scheduled plans at ~\$13.00–13.03; CEO’s Aug 5 sale was	CONFIRMED (via secondary)

Claim	How checked	Found	Confirmed?
	(EDGAR direct fetch was blocked; secondary sources only)	tax withholding at \$9.12. Mildly <i>contra</i> -bear. Our original brief missed all 14 Form 4s in the pack — a coverage error caught in court.	
“Regulation cannot touch 2026 at all”	Blue bench closed red’s declared gap via statute-date reporting (Press Herald on Maine , Pollstar/TicketNews on Vermont)	Maine’s fee cap has been live since September 2025 ; Vermont’s cap took effect July 1, 2026 (venues ≤3,000 seats). The absolute claim was false; the economic impact is currently minimal — and Maine doubles as a favorable natural experiment (fee rate rose to 20.5% with the cap in force).	Absolute claim REFUTED; materiality small
Fee rate 20.5%; full-year guide reaffirmed (\$9.9–10.1B ticket sales / \$400–420M EBITDA)	Q1 release pp.1–2 (primary)	Confirmed verbatim	CONFIRMED
Earnings date August 12	Company press release (via Barchart syndication)	Confirmed, after market close — upgraded from the pack’s “unconfirmed”	CONFIRMED
~\$124M/year interest burden	Q1 release	Both benches initially used a backward-looking figure: expense fell \$42.4M→\$17.3M year over year and \$100M was repaid in May; the true forward burden is materially lower.	Bench figure corrected
Tape anchor	Evidence pack (authoritative)	\$8.78, –68.5% from high, +53% off the low. The red bench quoted –66.9%/+51.8% — a minor stale-tape slip, immaterial to any conclusion.	CONFIRMED (pack)
Live quote, options-implied move, borrow cost	Attempted via IBKR	Blocked — broker access permission-denied in the court session. Not checked.	NOT CHECKED

PROPOSED ENTRY BANDS

The court’s unanimous ruling is **no entry before the August 12 report** — direction is unresolvable and the short side is too crowded to join. Per protocol, these are the **reopen bands**, built from the benches’ own numbers:

Reopen 1 — post-earnings long review (the primary path). Within 48 hours of the August 12 report, reconvene the court for a long entry **if all four reads pass**: customer-float balance ≥ \$1.11 billion (forward ticket demand held), fee rate ≥ ~20% (no cap erosion), full-year guide of \$9.9–10.1B ticket sales / \$400–420M EBITDA maintained, and no G&A blowout beyond the known +49% trend. The bull input the court hands forward: preferred down \$758M→\$454M in one quarter, \$100M debt repaid, interest halving — an equity residual that is thin but compounding in the common holder’s favor, against a market pricing deterioration.

Reopen 2 — price dislocation, either direction. Below **\$5.74** (a new 52-week low), reconvene regardless of news flow: at that level the equity is being priced near liquidation of a business that

generated \$446M of quarterly revenue at a rising fee rate, and the cause must be identified before it is dismissed. Above ~**\$13.00** (the insiders' pre-scheduled sale level, just under the 26-week high of \$13.69), the “beaten-down” premise is dead — close the file or re-underwrite from scratch; do not chase.

Sizing: zero today. The post-earnings court sets sizing; nothing in either bench's math supports a pre-report position in either direction, and the 11.8%-of-float short base makes even the bearish trade crowded into a coin-flip.

Catalyst dates: August 12, 2026, after market close — Q2 earnings (company-confirmed). Approximately mid-November 2026 — Q3 report, the first quarter with Vermont's cap in force and July's World Cup knockout resale fully booked (date unconfirmed).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.74 (deck-provisional: new 52-week low — mandatory dislocation review on a thin-but-improving equity residual)
- filing watch: 8-K,10-Q until 2027-02-07 (deck-provisional: Q2 report 8/12 AMC: read float $\geq$ \$1.11B, fee rate ~20.5%, G&A line, FY guide — then reconvene the cap-)
- dated pack STUB|2026-08-12: STUB: Q2 2026 earnings after market close (company press release confirmed) (date confirmed=True)
- dated pack STUB|2026-11-12: STUB: approx. Q3 report — first quarter with Vermont's cap in force and July World Cup knockout resale booked (date confirmed=False)

What remains unverified

- **Any StubHub-specific World Cup sales data.** Every price datapoint in this file describes FIFA's own resale portal, not StubHub's platform. This is the decisive unknown in both directions and the single item that would justify taking a side pre-report.
- **The Maine and Vermont statute texts themselves** — we verified effective dates and mechanics through reputable press coverage, not the enacted bills.
- **The insider Form 4s from EDGAR directly** — the SEC site blocked our fetches; the 10b5-1/tax-withholding characterization rests on secondary coverage plus one corroborating line in the Q1 cash-flow statement.
- **Live quote, borrow cost, and options pricing** — broker access was denied in the court session; the \$8.78 tape mark is the pack's snapshot, not a live quote.
- **Q2 itself** — everything above is a framework for reading a report that has not happened.
- **Desk housekeeping:** the standing ledger/dashboard closing step (ledger upsert, edge classification, entry plan) was **not completed** by either bench or this deck — desk-file and broker access were permission-denied throughout. This needs an interactive session or a permission grant on `signalos/desk`, and should be done at adjudication.

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One operational note: I could not file this deck into the desk pipeline myself – the signalos/desk/data read/write permission was denied in this session (the working directory court_tmp is empty and I have no write tool available here), so the deck exists only in this message until adjudication picks it up.